

Module 11

Financial Reporting

Answers

The suggested answers are longer than what candidates are expected to give in the examination. The purpose of the suggested answers is meant to help candidates in their revision and learning. The suggested answers may not contain all the correct points and candidates should note that credit will be awarded for valid answers which may not fully covered in the suggested answers.

SECTION A – CASE QUESTIONS (Total: 50 marks)**Answer 1(a)**

	<u>HK\$ million</u>	<u>HK\$ million</u>
CJ1: Pre-acquisition elimination entries		
Dr. Share capital	5,000	
Dr. Retained earnings, acquisition date	7,000	
Dr. Property, plant and equipment (net book value)	1,000	
Dr. Goodwill	2,700	
Cr. Investment		11,000
Cr. Non-controlling interest (B/S)		4,700
(W1): Fair value of net identifiable assets as at the acquisition date		<u>HK\$ million</u>
Share capital		5,000
Retained earnings		7,000
Fair value adjustments – Machinery items		1,000
Fair value of net identifiable assets		<u>13,000</u>
(W2): Goodwill		<u>HK\$ million</u>
Consideration		11,000
Non-controlling interest (at fair value)		4,700
		<u>15,700</u>
Less: Fair value of net identifiable assets (W1)		<u>(13,000)</u>
Goodwill		<u>2,700</u>

	<u>HK\$ million</u>	<u>HK\$ million</u>
CJ2: Extra depreciation expense relating to the fair value adjustments		
Dr. Retained earnings, 1 October 2020	1,000	
Cr. Property, plant and equipment (net book value)		1,000

Alternatively, candidates may choose to use the business combination valuation reserve as a transitional account and prepare the following entries instead of CJ1 and CJ2 shown above:

	<u>HK\$ million</u>	<u>HK\$ million</u>
Business combination valuation entry		
Dr. Property, plant and equipment (net book value)	1,000	
Cr. Business combination valuation reserve		1,000
Dr. Retained earnings, 1 October 2020	1,000	
Cr. Property, plant and equipment (net book value)		1,000

	<u>HK\$ million</u>	<u>HK\$ million</u>
Pre-acquisition elimination entries		
Dr. Share capital	5,000	
Dr. Retained earnings, acquisition date	7,000	
Dr. Business combination valuation reserve (see above)	1,000	
Dr. Goodwill	2,700	
Cr. Investment		11,000
Cr. Non-controlling interest (B/S)		4,700

	<u>HK\$ million</u>	<u>HK\$ million</u>
CJ3: Share of changes in retained earnings to non-controlling interest		
Dr. Retained earnings, 1 October 2020 (W3)	450	
Cr. Non-controlling interest (B/S)		450
(W3): Sharing of changes in retained earnings to non-controlling interest		
		<u>HK\$ million</u>
Change of retained earnings (HK\$9,500M – HK\$7,000M)		2,500
Less: Extra depreciation expense (CJ2)		(1,000)
Adjusted change in retained earnings		1,500
Proportionate share to non-controlling interest		30%
		<u>450</u>

	<u>HK\$ million</u>	<u>HK\$ million</u>
CJ4: Share of profits to non-controlling interest		
Dr. Non-controlling interest (P/L) (HK\$2,200M x 30%)	660	
Cr. Non-controlling interest (B/S)		660

Answer 1(b)

The key issue in this situation is whether Eustoma, with less than half of the shareholdings of Foxglove, has power over Foxglove after the Disposal.

In accordance with HKFRS 10 *Consolidated Financial Statements*, an investor controls an investee if and only if the investor has all the following:

- power over the investee;
- exposure, or rights to variable returns from the involvement with the investee; and
- the ability to use its power over the investee to affect the amount of the investor's returns.

Power is further defined as the existing rights that give the investor the current ability to direct the relevant activities which refer to those activities that significantly affect the investee's returns. Often an investor has this ability, through voting rights, to direct the relevant activities and an investor that holds more than half of the voting rights of an investee has power.

The relevant activities of Foxglove are directed through voting rights. With less than a majority of the voting rights of Foxglove, Eustoma needs to consider the following facts and circumstances before reaching a conclusion as to whether Eustoma has any power over Foxglove after the Disposal.

Consideration 1: Does Eustoma hold any substantive potential voting rights?

Potential voting rights (e.g., those arising from call options, convertible instruments or forward contracts) are a common form of rights to obtain the voting rights of an investee. If the potential voting rights are assessed to be substantive, it is included in the assessment of power over the investee. To be substantive, rights need to be:

- exercisable when decisions about the relevant activities are required to be made; and
- the holder needs to have a practical ability to exercise those rights.

It is therefore important to consider the following factors in assessing whether the potential voting rights are substantive, if Eustoma holds such rights:

- exercise price: If the instrument is in the money, it is more likely to be substantive. Further, if Eustoma will benefit from the exercise of the instrument for other reasons, such as, by realising synergies between Eustoma and Foxglove, then it is more likely to be substantive.
- financial ability to exercise: If Eustoma has sufficient cash or financing is readily available for exercising the instrument, it is more likely to be substantive. If an exercise or conversion price will create a financial barrier that would prevent or deter Eustoma from exercising its rights, it is less likely to be substantive.
- exercise period: If the potential voting rights are currently exercisable, it is more likely to be substantive.

To determine whether Eustoma has power, potential voting rights held by other parties should also be considered.

Consideration 2: Does Eustoma hold rights arising from a contractual arrangement between Eustoma and other vote holders of Foxglove?

A contractual agreement with other vote holders can give the investor power by giving the investor the ability to direct other investors on how to vote. Such a contract may be signed because the other vote holders may not have expertise in the area of the operations of the investee.

Consideration 3: Does Eustoma hold voting rights sufficient to unilaterally direct the relevant activities of Foxglove (i.e., have de facto control)?

When the investor holds less than a majority of the voting rights (which is the current situation as the investor holds only 45%) but significantly more voting rights than any other vote holders, this may be sufficient evidence of power.

When assessing whether Eustoma's voting rights are sufficient to give it power, Eustoma needs to consider all the facts and circumstances, including:

- the absolute size of Eustoma's holding of voting rights (which is 45%): it is quite close to 50% of the voting rights.

- the size of Eustoma's holding of voting rights relative to the size of the other vote holders: the more voting rights Eustoma holds relative to other vote holders, the more likely that Eustoma is to have power; and
- the dispersion of holdings of the other vote holders: the more parties that would need to act together to outvote Eustoma, the more likely Eustoma is to have power.

In conducting the above assessment, Eustoma may need to further consider whether there is any arrangement between the other vote holders to consult any of the others or to make collective decisions as well as the voting patterns at previous shareholders' meetings (i.e., the number of shareholders that typically come to the meetings to vote).

Answer 2(a)

Disposal on 1 April 2021

HKFRS 10 details the accounting treatments for disposal of a subsidiary. If a parent loses control of a subsidiary, the parent:

- derecognises the assets (including any goodwill) and liabilities of the former subsidiary from the consolidated statement of financial position at their carrying amounts at the date when control is lost;
- derecognises the carrying amount of any non-controlling interests in the former subsidiary at the date when control is lost;
- recognises the fair value of the consideration received from the transaction that resulted in the loss of control;
- recognises any investment retained in the former subsidiary at its fair value at the date when control is lost;
- recognises any resulting difference as a gain or loss associated with the loss of control attributable to the parent.

Eustoma accounted for the disposal of Foxglove, with loss of control, as follows:

	<u>HK\$ million</u>	<u>HK\$ million</u>
Fair value of consideration	5,200	
Fair value of retained interests	<u>9,400</u>	14,600
Less: Carrying amount of the subsidiary on consolidation as at the date of disposal		
Net assets of Foxglove	16,700	
Goodwill (CJ1 in Question 1(a))	2,700	
Less: Non-controlling interest (W4)	<u>(5,810)</u>	<u>13,590</u>
Gain on disposal		<u><u>1,010</u></u>

(W4) Non-controlling interest as at 31 March 2021

= HK\$4,700 million (CJ1 in Question 1(a)) + HK\$450 million (CJ3 in Question 1(a)) + HK\$660 million (CJ4 in Question 1(a))

= HK\$5,810 million

The net cash received upon disposal of Foxglove would be included within the investing activities (as a cash inflow) of the consolidated statement of cash flows, presented as follows:

	<u>HK\$ million</u>
Proceeds from disposal of a subsidiary net of cash disposed of (HK\$5,200 million – HK\$1,300 million)	3,900

Investment in Foxglove subsequent to the Disposal

HKAS 28 *Investments in Associates and Joint Ventures* defines an associate to be an entity over which the investor has significant influence.

Significant influence is the power to participate in the financial and operating policy decisions of the investee but is not control or joint control over those policies.

There is a rebuttable presumption to demonstrate significant influence. According to HKAS 28, if an investor holds 20% or more of the voting power of the investee, it is presumed that the investor has significant influence, unless it can be clearly demonstrated that this is not the case.

In this case, Eustoma held 45% of the voting power of Foxglove after the Disposal and Eustoma has representatives in the board of directors of Foxglove. Eustoma had therefore significant influence over Foxglove. As Eustoma has not had joint control over Foxglove after the Disposal, the investment in Foxglove would be accounted for as Eustoma's investment in an associate.

An investment in an associate should be accounted for using the equity method. Under the equity method, the investment is initially recognised at cost and the carrying amount is increased or decreased to recognise the investor's share of the profit or loss of the investee after the date of acquisition. The fair value of the retained interests as at the date of loss of control should be regarded as the cost on initial recognition of an investment in an associate.

To apply the equity method to the investment in Foxglove after the Disposal, Eustoma recorded a share of associate's profits of HK\$810 million (HK\$1,800 million x 45%) during the six months ended 30 September 2021 in the Eustoma Group's consolidated statement of profit or loss and other comprehensive income. The investment in associate balance, on the consolidated statement of financial position as at 30 September 2021, would then be HK\$10,210 million (HK\$9,400 million + HK\$810 million).

Answer 2(b)

Discontinued operation

A discontinued operation is defined in HKFRS 5 *Non-current Assets Held for Sale and Discontinued Operations* as a component of an entity that either has been disposed of, or is classified as held for sale, and

- represents a separate major line of business or geographical area of operations,
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations, or
- is a subsidiary acquired exclusively with a view to resale.

For the purpose of the above definition, a component of an entity is defined as operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

Foxglove met the definition of a component of an entity as it has been previously identified as a cash-generating unit when it was being held for use. It has now been disposed of (with loss of control) and Foxglove represents a separate major line of business as the Eustoma Group has no other entity engaging in the food segment. It therefore should be reported as a discontinued operation.

Answer 2(c)

Presentation requirements relating to the consolidated statement of profit or loss and other comprehensive income

HKFRS 5 requires the presentation of a single amount in the statement of profit or loss and other comprehensive income comprising the total of:

- the post-tax profit or loss of discontinued operations; and
- the post-tax gain or loss recognised on the disposal of the assets or disposal group(s) constituting the discontinued operation.

The above single amount should be further analysed into:

- the revenue, expenses and pre-tax profit or loss of discontinued operations; with the related income tax expense as required by HKAS 12 *Income Taxes*; and
- the gain or loss recognised on the disposal of the disposal group constituting the discontinued operation; with the related income tax expense as required by HKAS 12.

The analysis may be presented in the notes or in the statement of profit or loss and other comprehensive income. If it is presented in the statement of profit or loss and other comprehensive income, it should be presented in a section identified as relating to discontinued operations or separately from continuing operations.

HKFRS 5 also requires the disclosure of the amount of income from continuing operations and from discontinued operations attributable to owners of the parent. These disclosures may be presented either in the notes or in the statement of profit or loss and other comprehensive income.

Applying the above presentation requirements to Foxglove, with the information provided, Eustoma needed to present the discontinued operation as follows:

Eustoma Group
Consolidated statement of profit or loss and other comprehensive income
for the year ended 30 September 2021

	2021
	HK\$ million
<u>Continuing operations</u>	
Revenue and other income	X
Expenses and other loss	X
Profit from continuing operations	X
<u>Discontinued operation</u>	
Revenue and other income	52,200
Expenses and other loss	(50,000)
Gain on disposal of a subsidiary	1,010
Profit from discontinued operation	3,210
 Profit for the period	 X
Attributable to:	
Owners of the parent	
Profit from continuing operations	X
Profit from discontinued operation	
(HK\$2,200 million x 70% + HK\$1,010 million)	2,550
 Profit attributable to owners of the parent	 X
 Non-controlling interest	
Profit from discontinued operation	
(HK\$2,200 million x 30%)	660

Presentation requirements relating to the consolidated statement of cash flows

HKFRS 5 requires the presentation of the net cash flows attributable to the operating, investing and financing activities of discontinued operations. These disclosures may be presented either in the notes or in the financial statements.

Presentation requirements relating to prior periods

HKFRS 5 requires that all the above disclosures be re-presented for prior periods presented in the financial statements so that the disclosures relate to all operations that have been discontinued by the reporting date for the latest period presented.

Presentation requirements relating to the consolidated statement of financial position

As Foxglove has already been disposed of and has been deconsolidated from the Eustoma Group's consolidated statement of financial position, there has been no specific presentation requirements relating to it.

Answer 3

This is a group share-based payment transaction which is within the scope of HKFRS 2 *Share-based payment*. It is crucial to determine the classification of the transaction in the separate or individual financial statements of the group entities as well as in the consolidated financial statements.

(a) Financial statements of Goldenrod

Goldenrod is the "receiving entity" (i.e., the entity receiving the services from the senior executives). HKFRS 2 requires an entity that receives the services measure the transaction as an equity-settled share-based payment transaction when:

- the awards granted are the entity's own equity instruments; or
- the entity has no obligation to settle the share-based payment transaction.

In all other circumstances, the entity that receives the services measures the transaction as a cash-settled share-based payment.

Goldenrod should classify the transaction as an equity-settled share-based payment because:

- the transaction does not involve issuing Goldenrod's own equity instruments; and
- Goldenrod has no obligation to settle this share-based payment.

As this transaction has been classified as an equity-settled share-based payment, Goldenrod needed to record this transaction upon vesting through the following pair of journal entries:

Dr. Remuneration expense
Cr. Equity contribution from parent

(b) Separate financial statements of Eustoma

Eustoma is the "settling entity" (i.e., the entity settling the share-based payment transaction). HKFRS 2 requires an entity settling a share-based payment transaction when another entity receives the services to measure the transaction as an equity-settled share-based payment if it is settled in the entity's own equity instruments. Otherwise, the entity measures as a cash-settled share-based payment.

As Eustoma is not going to settle in Eustoma's shares in this transaction, it will not be classified as an equity-settled share-based payment. In other words, Eustoma should account for this share-based payment in its separate financial statements as a cash-settled share-based payment.

Eustoma needed to record this transaction upon vesting through the following pair of journal entries:

Dr. Investment in Goldenrod
Cr. Remuneration payable

(c) Consolidated financial statements of Eustoma Group

From the Eustoma Group's perspective, the Eustoma Group has an obligation/incurred a liability to transfer cash an amount that is pegged to the share price of its shares. In the consolidated financial statements of the Eustoma Group, it should then be classified as a cash-settled share-based payment. The Eustoma Group needed to recognise, upon vesting, the expense for the services received and a liability for the obligation for a future outflow of cash.

Concluding from the above analysis, the Eustoma Group needed to prepare the following consolidation adjustment entries when preparing for its consolidated financial statements:

Dr. Equity contribution from parent
Cr. Investment in Goldenrod

SECTION B – ESSAY / SHORT QUESTIONS (Total: 50 marks)

Answer 4

To: Aiden Chow
Sent (Date): xx/xx/xx
From: Sophie Ng
Subject: Accounting treatments of dedicated office suites and hot desks

Dear Aiden,

Thanks for your enquiry. With reference to the fact pattern that you described in your earlier email, here is my view on the accounting treatments of the dedicated office suites and hot desks.

To set the scene, for the contracts with customers mentioned in the fact pattern, HKFRS 15 *Revenue from Contracts with Customers* ("HKFRS 15") would apply if the arrangement concerned does not fall within the scope of HKFRS 16 *Leases* ("HKFRS 16").

A lease is a contract, or part of a contract, that conveys the right to use an asset for a period of time in exchange for consideration.

To assess whether a contract conveys the right to control the use of an identified asset for a period of time, an entity shall assess whether, throughout the period of use, the customer has both of the following:

- the right to obtain substantially all of the economic benefits from use of the identified asset; and
- the right to direct the use of the identified asset.

Dedicated office suites

The contract explicitly specifies a designated area to be used by a customer, i.e., the contract contains an identified asset.

In addition, the customers have exclusive use of the area to carry out their activities – meaning they have control over the use of the area, as they can direct how they want to use it to obtain substantially all of the economic benefits.

Therefore, this arrangement contains a lease and HKFRS 16 should be applied in determining how the considerations received should be recognised.

The contracts contain lease components (for use of designated office space for specified period of time in exchange for consideration) and non-lease components (security and cleaning services).

Following HKFRS 16 para. 17, for a contract that contains a lease component and one or more additional lease or non-lease components, the lessor shall allocate the transaction price to each performance obligation identified in the contract on a relative standalone selling price basis (also refer to HKFRS 15 para. 73 - 86).

The portion of revenue in respect of non-lease components will be recognised when FSL transfers the promised services to the customer.

Acting as a lessor in the contracts with the users of the units, FSL will need to determine whether the lease is a finance lease or an operating lease under HKFRS 16.

Given the lease term is typically five years or less, with reference to the head lease having a term of 10 years, it appears the lease would be classified as operating lease as it does not transfer substantially all the risks and rewards incidental to ownership of the underlying asset.

Following HKFRS 16 para. 81, FSL should recognise the portion of revenue in respect of lease component on a straight-line basis or another systematic basis, if that basis is more representative of the pattern in which benefit from the use of the underlying asset is diminished.

However, ignoring other factors in HKFRS 16 *Leases* para. 61-66 that need to be taken into consideration in assessing classification, if the sub-lease is starting later, e.g., from year 4 of the head lease, then it may be possible for the lease to be classified as a finance lease when the contract term covers a major part of the remaining lease term of the head lease.

This is because the classification should be made by reference to the right-of-use asset arising from the head lease rather than by reference to the underlying asset. [HKFRS 16 para. B58]

If that is the case, FSL as a lessor shall recognise finance income over the lease term, based on a pattern reflecting a constant periodic rate of return on the lessor's net investment in the lease. [HKFRS 16 para.75]

Hot-desk access

As the asset is not explicitly or implicitly specified and the customer can sit anywhere in the premise any time during the period of subscription, the contract does not convey the right to control the use of an identified asset and therefore it does not contain a lease.

As a result, we need to apply HKFRS 15 to the arrangement.

The promises in the contract include provision of:

- access to hot desks in the co-working space area;
- printing quota of 150 pages per month; and
- access to common areas and amenities.

Even though there is a possibility for each of the above being capable of being distinct as customers could benefit from either of the above on its own, it appears these services are not separately identifiable (i.e. they are integrated) within the context of the arrangement. It is a bundle of services contracted by the customer so there is one performance obligation. [HKFRS 15 para.27]

This revenue is recognised "over time" because the activity falls under HKFRS 15 para. 35(a). This is because this activity is a service performed over a period of time and the customer receives and consumes the benefit of the service simultaneously whenever the reporting entity performs the service by letting the customer come in during the contract period.

Accordingly, in this particular situation revenue would be recognised over the duration of the contract.

Alternatively, even though opening the doors for access each day is distinct because the customer benefits from that period of service on its own and each increment of service is separable from those preceding and following it – i.e., one service period does not significantly affect, modify or customise another, the contract is a single performance obligation to provide access to the co-work space for a year as the services are substantially the same and have the same pattern of transfer to the customer - each of the distinct increments of services is satisfied over time; and a consistent measure of progress to recognise revenue is used. (HKFRS 15.22(b), 23)

Hope this clarifies. Let me know if you need any further clarifications.

Regards,
Sophie

Answer 5(a)

According to HKAS 24 *Related Party Disclosures* para. 25, a reporting entity is exempt from the disclosure requirements of para. 18 in relation to related party transactions and outstanding balances, including commitments, with:

- (a) a government that has control or joint control of, or significant influence over, the reporting entity; and
- (b) another entity that is a related party because the same government has control or joint control of, or significant influence over, both the reporting entity and the other entity.

If a reporting entity applies the exemption in para. 25, it shall disclose the following about the transactions and related outstanding balances referred to in para. 25:

- (a) the name of the government and the nature of its relationship with the reporting entity;
- (b) the following information in sufficient detail to enable users of financial statements to understand the effect of related party transactions on its financial statements:
 - (i) nature and amount of each individually significant transaction; and
 - (ii) for other transactions that are collectively, but not individually, significant, a qualitative or quantitative indication of their extent.

[HKAS 24 para. 26]

In the situation of SSL, it is mentioned that the government of the HKSAR has significant influence over SSL.

Since FGL is ultimately controlled by the same government, by virtue of HKAS 24 para. 9(b)(ii), SSL and FGL are related parties.

As both SSL and FGL are government-related, according to HKAS 24 para.25(b), SSL is exempt from the detailed disclosures required under HKAS 24 para. 18 in relation to related party transactions and outstanding balances. But that does not mean total non-disclosure like what Sarah said.

If SSL applies the exemption, it shall disclose the following:

- the name of the government and the nature of FGL relationship with SSL; and
- the nature and amount of the transaction, as there is only one transaction and it is material.

If SSL does not apply the exemption, it shall provide the relevant disclosures as if FGL is not government-related.

Answer 5(b)

Preference shares

For the purposes of calculating basic earnings per share, the profit or loss amounts attributable to ordinary equity holders of SSL shall be adjusted for the after-tax amount of preference dividends. In other words, the after-tax effect of the HK\$ 5 million preference shares dividend will need to be deducted from the profit or loss amounts used in basic earnings per share calculation. (HKAS 33 para. 12)

For the purpose of calculating basic earnings per share, the number of ordinary shares shall be the weighted average number of ordinary shares outstanding during the period. The number of preference shares is irrelevant in the calculation. (HKAS 33 para. 19)

In respect of diluted earnings per share calculation, there is also no need to adjust the average number of shares outstanding as well as the profit or loss attributable to ordinary equity holders compared to the numbers used in basic earnings per share calculation.

Share split

The share split occurred after the year end but before the financial statements were authorised for issue.

According to HKAS 33 *Earnings per Share* para. 64, if the number of ordinary shares outstanding increases as a result of share split occur after the reporting period but before the financial statements are authorised for issue, the per share calculations (basic and diluted) for those and any prior period financial statements presented shall be based on the new number of shares (i.e., number of shares retrospectively adjusted as if the share split occurred at the beginning of the comparative period).

There is no impact on the “earnings” in the basic and diluted EPS calculation.

Answer 5(c)

The incident indicates potentially SSL has an issue in its supply chain management and its governance in this aspect.

Apart from the possibility of being sued and hence further impacting its reputation which might lead to provisions being recognised or contingencies being disclosed under HKAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, there could be further ramifications if the incident is not dealt with properly. For example:

- Rating agencies might adjust their views about SSL, as it is a matter of governance and that could affect share price/ credit ratings – thus increasing capital costs;
- Regulators might be raising questions about the company's operations, increasing its costs of compliance;
- Increase in compliance costs where SSL will need to build up systems / controls to monitor its suppliers/ its own involvement in child slave labour;
- Banks and insurers that are practicing green and sustainable financing might withdraw their facilities to the company;
- Customers reducing their consumption of SSL's products, or even boycotting them on sustainability grounds;
- Impairment of the company's assets when business drops or when regulators withdraw licence to operate;
- On the extreme this could even threaten the company's going concern.
- Other valid points

Answer 6(a)

Under HKAS 38 Intangible Assets para. 72, an entity chooses either the cost model or the revaluation model as its accounting policy.

Based on the information provided, HTL is currently applying the cost model to its intangible assets.

Under HKAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors* para. 14, an entity shall change an accounting policy only if the change:

- (a) is required by a HKFRS; or
- (b) results in the financial statements providing reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, financial performance or cash flows.

If an intangible asset is accounted for using the revaluation model, all the other assets in its class shall also be accounted for using the same model, unless there is no active market for those assets.

Therefore, Helena's plan to apply the change in accounting policy to only formulas that are purchased would not be appropriate. The change, if feasible at all, would need to be applied to the whole class – which includes those that were developed in-house.

In addition, intangible assets cannot be revalued unless there is an "active market", which requires a market in which transactions for the asset or liability take place with sufficient frequency and volume to provide pricing information on an ongoing basis. [HKAS 38 para. 75, HKFRS 13.A]

Even though the formulas are bought and sold, contracts are negotiated between individual buyers and sellers and transactions are relatively infrequent given the underlying assets are unique.

Therefore, there would be no active market for the patented formulas. Accordingly the patented formulas would not qualify for revaluation model.

Therefore, on the whole Helena's proposal to account for purchased formulas under revaluation model is not appropriate.

Answer 6(b)

According to HKAS 37 para. 14, a provision shall be recognised when:

- (a) an entity has a present obligation as a result of a past event;
- (b) it is probable that an outflow of resources embodying economic benefits will be required to settle the obligation;
- (c) a reliable estimate can be made of the amount of the obligation.

If these conditions are not met, no provision shall be recognised.

Based on the information provided, as the news about the vaccines came out on 1 April 2021, there is a possibility that the injections were taken on or before 31 March 2021. If that is the case, then it is possible for the "past event" to have occurred before the year end date.

The existence of insurance cover is irrelevant to the determination of whether a provision should be recognised and how much.

Therefore, I would disagree with Helena on her rationale of not recording a provision as of 31 March 2021. However, whether HTL eventually needs to recognise a provision in its 31 March 2021 financial statements is subject to the further considerations below.

The case is silent on whether there is a "present obligation", especially when it is subject to outcome of the lawsuit.

Under HKAS 37 para. 15 - 16, in some cases, for example a lawsuit, it may be disputed either whether certain events have occurred or whether those events result in a present obligation, even if it is clear that there is a past event. In such a case, an entity determines whether a present obligation exists at the end of the reporting period by taking into account all available evidence, including, for example, the opinion of experts, including any additional evidence provided by events after the reporting period.

On the basis of such evidence:

- (a) where it is more likely than not that a present obligation exists at the end of the reporting period, the entity recognises a provision (if the recognition criteria are met); and
- (b) where it is more likely that no present obligation exists at the end of the reporting period, the entity discloses a contingent liability, unless the possibility of an outflow of resources embodying economic benefits is remote.

[HKAS 37 para.16]

I would have expected some form of estimation by HTL's management, their in-house / external experts and their lawyers of the likelihood of HTL losing the cases, as this helps to establish whether there is a present obligation in the first place, or the probability of outflow.

If the evidence collected suggests that a present obligation exists at 31 March 2021, i.e. it is more likely than not that those vaccines caused the hospitalization / death, then HTL would need to recognise a provision, as it seems there is already some reliable estimates by the lawyers.

The amount of provision recognised would be the best estimate of the expenditure required to settle the present obligation at the end of the reporting period. [HKAS 37.36]

In HTL's case, since the provision would be made for a population of items assuming the lawsuits are brought on individually by those who were affected by the side effects of the vaccines, the provision is to be measured at its expected value.

If the evidence suggests it is more likely that HTL does not have a present obligation it would need to disclose a contingent liability, unless the possibility of outflow is remote in which case nothing needs to be reflected in the 31 March 2021 financial statements.

* * * END OF EXAMINATION PAPER * * *